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B

Income tax and NIC liabilities

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B1

The scope of income tax



Lecture example 1-Solution

In the tax year 2025/26, Fiona does not meet two automatic tests, so it is necessary to further determine whether she is a UK residence according to the sufficient ties test.

Since Fiona has always been the UK resident in previous tax years and spends 365 − 260=105 days in the UK in 2025/26, she will be UK resident in 2025/26 if she has two or more UK ties.

Fiona has three Ties:

Her husband is UK resident;

She used to spend at least 100 days a year in the UK;

Have accommodation in the UK for 105 days.

Therefore, Fiona is a UK resident in the tax year 2025/26.

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B5

The comprehensive computation of taxable income and income tax liability



Lecture example 2-Solution

Emily: £100,000×3%× 5/12= £1,250

Sini: £100,000×3%× 6/12 - £100,000×3%×5/12 =£250

Lecture example 3-Solution

	Non-savings Income £	Savings Income £	Dividend Income £	Total Income £
Employment income	6,000			
Building society interest		4,000		
Dividend			96,000	
Total income/net income	6,000	4,000	96,000	106,000
Less: PA(W)	(6,000)	(3,570)	(0)	(9,570)
Taxable income	0	430	96,000	96,430
Working： PA				
Adjusted net income	106,000			
Excess	106,000 － 100,000=6,000			
Personal allowance	12,570 － 6,000×1/2=9,570			

Lecture example 4-Solution

	Non-savings income £	Savings income £	Dividend income £	Total income £
Employment income	47,000			
Savings income		2,000		
Dividend			6,000	
Qualifying interest paid	(430)			(430)
Net income	46,570	2,000	6,000	54,570
Less: personal allowance	(12,570)			(12,570)
Taxable income	34,000	2,000	6,000	42,000
Income tax	£			
34,000×20%	6,800			
500×0%	0			
(2,000-500)×20%	300			
500×0%	0			
(37,700-34,000-2,000-500)×8.75%	105			
(6,000-500-1,200)×33.75%	1,451			
Income tax liability	8,656			
Less: PAYE	(6,230)			
Income tax payable	2,426			

Lecture example 5-Solution

	Non-savings Income £	Dividend Income £	Total Income £
Employment income	125,000		
Dividend income		8,000	
Total income/Net income	125,000	8,000	133,000
Less personal allowance	(4,070)	-	(4,070)
Taxable income	120,930	8,000	128,930
Income tax liability			
53,700×20%	10,740		
(120,930 − 53,700)×40%	26,892		
500×0%	0		
7,500×33.75%	2,531		
	40,163		

Lecture example 5-Solution

Working	£
Gross gift aid donation	12,800×100/80= 16,000
Adjusted net income	133,000 – 16,000 = 117,000
Personal allowance	12,570 – (117,000 – 100,000)/2 = 4,070
Rate limit	37,700 + 16,000 = 53,700 125,140 + 16,000 = 141,140

Lecture example 6-Solution

Paul	£
Trading profit/Net income	12,000
Less: personal allowance 12,570 － 1,260	(11,310)
Taxable income	690
Tax liability 690×20%	138
Rai	£
Employment income/Net income	35,000
Less: personal allowance	(12,570)
Taxable income	22,430
Income tax:	£
22,430×20%	4,486
Personal allowance tax reduction	(252)
Income tax liability	4,234

Lecture example 7-Solution

	£
Employment income	66,950
Adjusted net income 66,950 － 1,600×100/80	64,950
64,950 － 60,000=4,950	
4,950÷200×1%=24.75% (round 24%)	
Child benefit income tax charge	2,089×24%=501

Lecture example 8-Solution

Income tax saving=£1,000 × 40%=£400

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谢谢观看

THANK FOR WATCHING